28 Jul 2026 20:00:00 ET | 26 pages

Walt Disney Co (DIS.N)

Potential Risk to FY26 Guide

CITI'S TAKE

During F3Q26 earnings, we expect investors to focus on five items: 1) Potential changes to the firm's double-digital Adj EPS growth for FY26, 2) Domestic Experiences attendance trends, 3) Potential long-term Experiences EBIT targets to align with recent capex investments, 5) Potentially higher SVOD content spending causing more muted margin expansion and 6) EBIT headwinds from recent box office disappointments (including Mandalorian and Moana).

We See Some Risk to FY26 Guidance — We expect Disney to report 3Q26 segment EBIT of $5.23 billion, just below guidance of $5.3 billion. For 4Q26, we expect $5.13 billion of EBIT and Adj. EPS of $1.74, slightly below VA consensus estimates of $1.76. Collectively, we expect $6.80 of 2026 Adj EPS, or 15% yoy growth, slightly below guidance of 16% growth (which includes the 53rd week).

F3Q26 Attendance Healthy, but 4Q26 Risks Emerge — Recently, Disney's US attendance growth has been muted. 3P data suggests a sequential improvement in 3Q26 trends, but risk remains to 4Q26 consensus of 6% attendance growth (given recent commentary from Comcast).

Global Guest Growth — Management may shift from a Domestic to Global guest metric in FY27. This new metric would include International guests and Cruise nights. We believe this KPI will help growth, but improvements may be modest.

Experiences EBIT: Biggest Opportunity — In light of higher Experience capex, we see the opportunity for Disney is to provide long-term EBIT targets at Experiences. However, absent new targets, we remain confident that management's investments will generate robust returns based on analysis of past capex and EBIT trends.

SVOD: A Potential Risk — We will be listening for commentary related to higher SVOD content spending (to help lower churn and improve engagement). Given our expectation of higher content spend, our SVOD EBIT margins are below consensus in both FY27 and FY28.

Box Office Disappointments — While Toy Story outperformed, Mandalorian and Moana underperformed. We expect this to weigh on EBIT.

EPS (US$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2025A	1.76A	1.46A	1.60A	1.11A	5.93A	5.93A	5.93A
2026E	**1.63A**	**1.57A**	**1.82E**	**1.74E**	**6.80E**	**6.82E**	**6.77E**
Previous	1.63A	1.57A	1.85E	1.78E	6.86E	na	na
2027E	**1.76E**	**2.06E**	**1.87E**	**1.62E**	**7.31E**	**7.47E**	**7.44E**
Previous	1.77E	2.10E	1.94E	1.67E	7.49E	na	na
2028E	**1.98E**	**2.00E**	**2.09E**	**1.75E**	**7.82E**	**8.26E**	**8.32E**
Previous	2.01E	2.05E	2.16E	1.84E	8.06E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click here for Visible Alpha consensus data

Buy	
Price (28 Jul 26 16:00)	US$98.91
Target price	US$135.00↓
from US$145.00	
Expected share price return	36.5%
Expected dividend yield	1.5%
Expected total return	38.0%
Market Cap	US$171,758M

Price Performance
(RIC: DIS.N, BB: DIS US)

Jason B Bazinet AC
+1-212-816-6395
jason.bazinet@citi.com

Michael Lehman
+1-212-816-9300
michael.lehman@citi.com

Aarushi Gupta
+1-212-816-1136
aarushi.gupta@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

DIS.N: Fiscal year end 30-Sep

Price: US$98.91; TP: US$135.00; Market Cap: US$171,758m; Recomm: Buy

Profit & Loss (US$m)	2024	2025	2026E	2027E	2028E
Sales revenue	91,361	94,425	100,910	106,618	110,954
Cost of sales	-79,447	-80,593	-84,430	-88,752	-91,564
Gross profit	11,914	13,832	16,480	17,866	19,390
Gross Margin (%)	13.0	14.6	16.3	16.8	17.5
EBITDA (Adj)	**20,522**	**22,594**	**25,040**	**26,107**	**27,932**
EBITDA Margin (Adj) (%)	22.5	23.9	24.8	24.5	25.2
Depreciation	-4,990	-5,326	-5,470	-5,562	-5,483
Amortisation	0	0	0	0	0
EBIT (Adj)	**14,166**	**15,905**	**18,233**	**19,245**	**21,149**
EBIT Margin (Adj) (%)	15.5	16.8	18.1	18.1	19.1
Net interest	-1,260	-1,305	-1,176	-1,221	-1,110
Associates	575	295	334	201	323
Non-Op/Except/Other Adj	-5,912	-2,892	-1,992	-1,379	-1,759
Pre-tax profit	**7,569**	**12,003**	**15,399**	**16,846**	**18,603**
Tax	-1,796	1,428	-4,071	-4,043	-4,465
Extraord./Min.Int./Pref.div.	-801	-1,027	-936	-984	-1,085
Reported net profit	**4,972**	**12,404**	**10,393**	**11,819**	**13,054**
Net Margin (%)	5.4	13.1	10.3	11.1	11.8
Core NPAT	9,100	10,739	11,964	13,035	14,023
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Reported EPS ($)	2.72	6.85	5.90	6.62	7.28
Core EPS ($)	4.97	5.93	6.80	7.31	7.82
DPS ($)	0.75	1.00	1.51	1.60	1.72
CFPS ($)	7.63	10.00	10.83	11.84	10.17
FCFPS ($)	4.67	5.56	5.72	6.60	4.81
BVPS ($)	55.57	61.35	62.08	65.22	69.20
Wtd avg ord shares (m)	1,825	1,804	1,755	1,778	1,788
Wtd avg diluted shares (m)	1,831	1,811	1,761	1,784	1,794
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue (%)	2.8	3.4	6.9	5.7	4.1
EBIT (Adj) (%)	20.9	12.3	14.6	5.5	9.9
Core NPAT (%)	32.3	18.0	11.4	9.0	7.6
Core EPS (%)	32.2	19.3	14.6	7.5	7.0
Balance Sheet (US$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash & cash equiv.	6,002	5,695	7,880	10,190	9,563
Accounts receivables	12,729	13,217	13,148	14,183	14,826
Inventory	2,022	2,134	2,212	2,293	2,378
Net fixed & other tangibles	82,454	82,584	89,716	94,980	102,999
Goodwill & intangibles	84,065	82,566	84,010	82,542	81,074
Financial & other assets	8,947	11,318	10,733	10,771	10,818
Total assets	**196,219**	**197,514**	**207,699**	**214,959**	**221,657**
Accounts payable	21,070	21,203	20,668	23,282	23,791
Short-term debt	6,845	6,711	8,887	8,887	8,887
Long-term debt	38,970	35,315	37,271	35,871	34,471
Provisions & other liab	23,812	19,673	22,586	22,586	22,586
Total liabilities	**90,697**	**82,902**	**89,412**	**90,626**	**89,735**
Shareholders' equity	100,696	109,869	111,683	117,729	125,318
Minority interests	4,826	4,743	6,604	6,604	6,604
Total equity	**105,522**	**114,612**	**118,287**	**124,333**	**131,922**
Net debt (Adj)	**39,813**	**36,331**	**38,278**	**34,568**	**33,795**
Net debt to equity (Adj) (%)	37.7	31.7	32.4	27.8	25.6

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	19.9	16.7	14.6	13.5	12.7
PB (x)	1.8	1.6	1.6	1.5	1.4
EV/EBITDA (x)	10.2	9.2	8.2	7.9	7.3
FCF yield (%)	4.7	5.6	5.8	6.7	4.9
Dividend yield (%)	0.8	1.0	1.5	1.6	1.7
Payout ratio (%)	15	17	22	22	22
ROE (%)	5.0	11.8	9.4	10.3	10.7
Cashflow (US$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBITDA	16,839	19,158	21,950	23,428	24,873
Working capital	-1,613	-430	-1,811	1,455	-274
Other	-1,255	-627	-1,071	-3,766	-6,361
Operating cashflow	**13,971**	**18,101**	**19,069**	**21,116**	**18,238**
Capex	-5,412	-8,024	-9,003	-9,349	-9,617
Net acq/disposals	-1,401	-94	-540	0	0
Other	-68	75	57	0	0
Investing cashflow	**-6,881**	**-8,043**	**-9,486**	**-9,349**	**-9,617**
Dividends paid	-1,366	-1,803	-2,647	-2,851	-3,071
Financing cashflow	**-6,678**	**-9,927**	**-7,366**	**-9,457**	**-9,249**
Net change in cash	**477**	**136**	**2,188**	**2,310**	**-628**
Free cashflow to s/holders	**8,559**	**10,077**	**10,065**	**11,767**	**8,622**

For definitions of the items in this table, please click here.

Preparing for F3Q26 Results

During earnings, we suspect investors will focus on six areas:

- First, investors continue to fear a reduction in **FY26 guidance**. Unlike last quarter, we think there is some risk to the FY26 guide (see Figure 1).
- Second, the buy side (based on our conversations with investors) remains focused on **domestic attendance trends**. These fears increased when Comcast noted that higher gas prices and dour consumer sentiment weighed on Epic's performance in June. Our 3P data suggests Street estimates for F3Q26 are reasonable at 1%. However, we see risks to the 4Q26 estimate of 6%growth, even with an easier comp of -4% (see Figure 8).
- Third, management hinted they may sunset Domestic attendance growth and shift to a **broader global metric** (which includes International parks and Cruise nights). We looked at historical trends for global attendance and do not expect a demonstrably better growth rate from this potentially new KPI (see Figure 10).
- Fourth, investors want to understand how **higher Experiences capex** may translate into long-term EBIT growth. A long-term target may be the greatest opportunity for multiple expansion. However, if we don't get a long-term Experiences EBIT target, we continue to view incremental capex as a positive. Management has a long track record of disciplined investments with favorable ROICs (see Figure 18).
- Fifth, strategically, investors wonder if **SVOD needs more content spending** to improve engagement. We think it does. As such, we are lowering our estimates on higher SVOD content spending. Our SVOD margins are below the Street by 130bps in 2027 and 200bps in 2028 (see Figure 22).
- Sixth, recent **box office disappointments** from The Mandalorian in F3Q26 and Moana in F4Q26 will likely weigh on near-term estimates (see Figure 24).

#1: FY26 Guidance

For full-year 2026, investor's 'north star' is double digit Adj EPS growth. The company guided to 16% growth including the 53rd week. We believe there is some risk to this estimate driven by the Entertainment segment.

Figure 1. FY26 Estimates ($ millions, percent, $ per share)

	Citi FY26E	VA Consensus FY26E	Citi vs Consensus FY26E	2025A	Citi YoY growth inc. 53rd week	Consensus YoY growth inc. 53rd week	Guidance for FY26 (ex 53rd week)
Entertainment Revenue	45,966	46,705	-1.6%	42,466	8.2%	10.0%	
+ Sports Revenue	18,403	18,446	-0.2%	17,672	4.1%	4.4%	
+ Experiences Revenue	38,926	39,125	-0.5%	36,156	7.7%	8.2%	
+ Eliminations	(2,386)	(2,137)	11.7%	(1,869)	27.7%	14.3%	
= FY26 Revenue	**100,910**	**101,892**	**-1.0%**	**94,425**	**6.9%**	**7.9%**	
Entertainment EBIT	5,247	5,396	-2.8%	4,674	12.3%	15.5%	Double digits
+ Sports EBIT	3,071	3,055	0.5%	2,882	6.6%	6.0%	Mid single digits
+ Experiences EBIT	11,249	11,014	2.1%	9,995	12.5%	10.2%	High single digits
= FY26 Segment Operating Income	**19,567**	**19,465**	**0.5%**	**17,551**	**11.5%**	**10.9%**	
Operating Income Margin	*19.4%*	*19.1%*					
SVOD EBIT margin	10.8%	10.8%	0.0%	6.6%			Atleast 10% margin
FY26 Adj. EPS	**6.80**	**6.82**	**-0.3%**	**5.93**	**14.6%**	**14.9%**	16% inc. 53rd week 12% ex. 53rd week
FY26 Cash from operations	19,069	19,174	-0.5%	18,101	5.3%	5.9%	$19 billion
FY26 Share repurchases	8,194	8,245	-0.6%	3,500	134.1%	135.6%	Atleast $8 billion

Source: Citi Research, Company Reports, Visible Alpha

Investors' anxiety about the FY26 Adj EPS guide likely stems from the robust EBIT growth needed in 4Q (given 3Q26 guidance for $5.3 billion of EBIT). We are less nervous about the implied 4Q26 growth given the easy compare in the year-ago period.

Figure 2. Segment EBIT Growth ($ millions; percent)

	2025				2026				
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	Total
Current year segment EBIT	5,060	4,436	4,575	3,480	4,600	4,603	5,235	5,129	19,567
- Year ago segment EBIT	3,876	3,845	4,225	3,655	5,060	4,436	4,575	3,480	17,551
= YoY change in segment EBIT	**1,184**	**591**	**350**	**(175)**	**(460)**	**167**	**660**	**1,649**	**2,016**
memo: growth	31%	15%	8%	-5%	-9%	4%	14%	47%	
memo: 2-year stacked growth	58%	32%	27%	18%	21%	19%	23%	43%	

Source: Citi Research, Company Reports

For 3Q26, we forecast EBIT of $5.2 billion, which falls just below the guide of $5.3 billion.

Figure 3. F3Q26 Expectations ($ millions; percent; $ per share)

	Citi F3Q26E	VA Consensus F3Q26E	Citi vs Consensus F3Q26E	3Q25A	Citi YoY growth	Consensus YoY growth	Guidance F3Q26E
SVOD	610	628	-2.8%	329	85.5%	90.9%	
+ Other	778	923	-15.7%	693	12.3%	33.2%	
= Entertainment EBIT	1,388	1,551	-10.5%	1,022	35.8%	51.8%	
+ Sports EBIT	893	898	-0.7%	1,037	-13.9%	-13.4%	14% decline
+ Experiences EBIT	2,954	2,779	6.3%	2,516	17.4%	10.5%	
= Segment Operating Income	**5,235**	**5,229**	**0.1%**	**4,575**	**14.4%**	**14.3%**	$5.3 billion
Adj. EPS	1.82	1.85	-1.2%	1.60	14.3%	15.7%	

Source: Citi Research, Visible Alpha, Company Reports

4Q26 Expectations

Regarding 4Q26, we are above the Street for segment EBIT and expect 47% EBIT growth driven largely by Experiences and Entertainment.

Figure 4. F4Q26 Expectations ($ millions; percent)

	Citi F4Q26E	VA Consensus F4Q26E	Citi vs Consensus F4Q26E	4Q25A	Citi YoY growth	Consensus YoY growth
SVOD	731	731	0.0%	402	81.8%	81.8%
+ Other	692	668	3.6%	289	139.5%	131.2%
= Entertainment EBIT	1,423	1,399	1.7%	691	105.9%	102.5%
+ Sports EBIT	1,335	1,311	1.8%	911	46.6%	43.9%
+ Experiences EBIT	2,371	2,314	2.5%	1,878	26.3%	23.2%
= 4Q26 Segment Operating Income	**5,129**	**5,024**	**2.1%**	**3,480**	**47.4%**	**44.4%**
Adj. EPS	1.74	1.76	-1.1%	1.11	57.5%	59.3%

Source: Citi Research, Visible Alpha, Company Reports

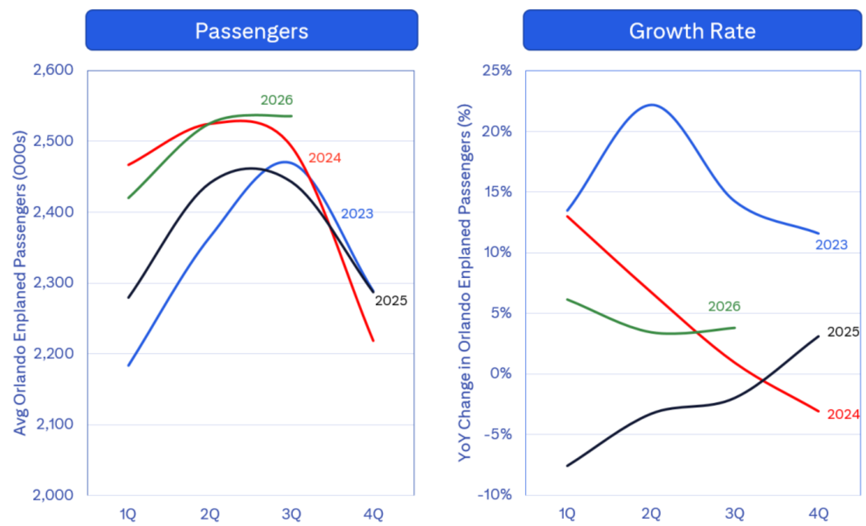
Bottom lines: We think there is some risk to Disney delivering 16% Adj EPS growth for FY26 due to the Entertainment segment.

#2: US Attendance Trends

Over the past few quarters, investors have closely followed Domestic attendance. To gauge recent trends, we looked at three external data sources:

- First, in F3Q26, Orlando airport passengers (through May) grew 3% YoY.

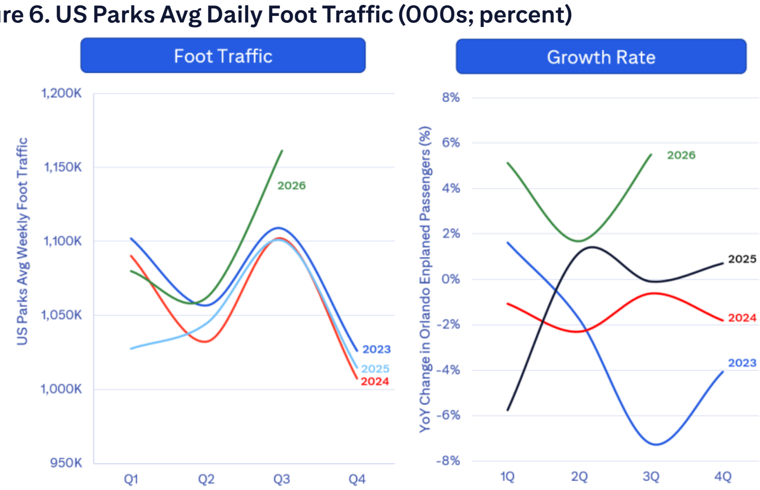
Figure 5. Orlando Airport Passengers (000s; percent)



Source: Citi Research, Orlando Airport

- Second, Placer foot traffic at Disney's Domestic parks is up 5% YoY in F3Q26.

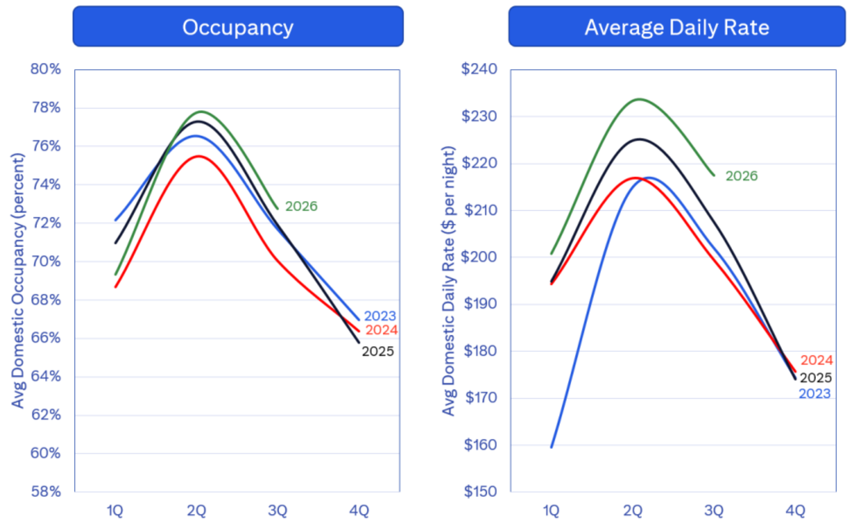
Figure 6. US Parks Avg Daily Foot Traffic (000s; percent)



Source: Citi Research, Placer

- Third, Smith Travel Data (STD) suggests hotel occupancy in Orlando, FL and Anaheim, CA is up 100bps y/y. STD also suggests the average daily hotel rate is up 5% over last year across these two markets.

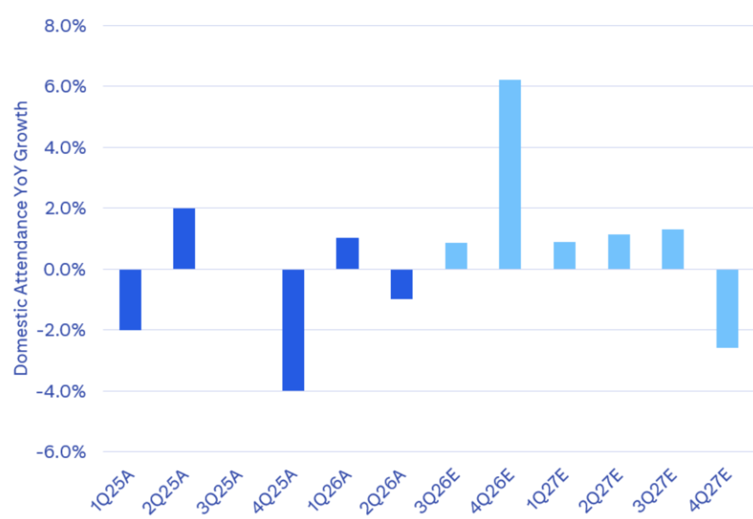
Figure 7. Hotel Occupancy and Rate (percent; $ per night)



Source: Citi Research, Smith Travel, Company Reports

Bottom lines: the Street expects 1% US attendance growth in F3Q26. Based on 3P data, this seems reasonable to us, particularly given the easier comp in 3Q25 (as Disney laps both the opening of Universal Epic's and International visitation headwinds). However, we still see some risk to 4Q26 estimates given Comcast's recent commentary.

Figure 8. Consensus Domestic Park Attendance YoY Growth (percent)



Source: Citi Research, Company Reports, Visible Alpha

#3: Global Guest Growth

Disney suggested they may shift from Domestic attendance to Global guests as its primary Experiences KPI. The new potential KPI would include International attendance and occupied Cruise nights.

To assess how this KPI might change, we used TEA disclosures. The TEA data is based on a calendar year versus Disney's fiscal year. With that caveat, there are a few key points:

- First, Domestic parks attendance comprises most guests, around 65%.
- Second, International guests and Cruise nights are growing more briskly than Domestic guests.

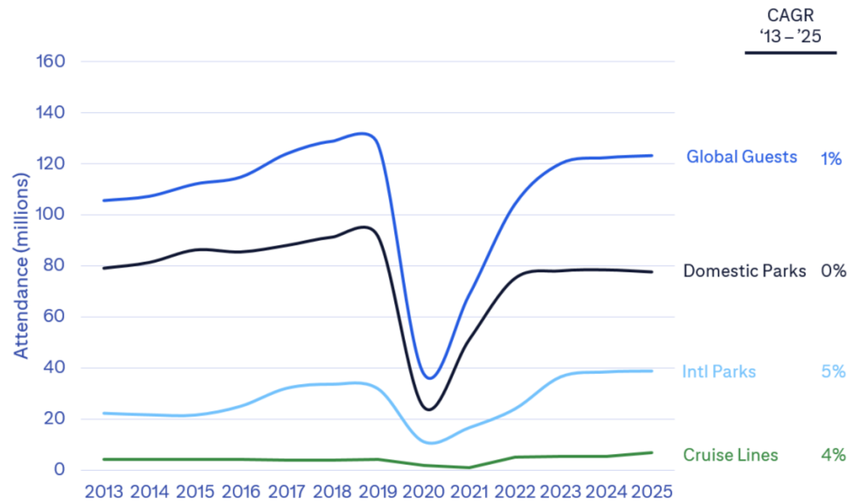
Figure 9. Historical Experience Attendance (millions; percent)

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Disneyworld	54.2	55.7	58.4	58.1	60.0	62.6	63.0	19.1	37.4	49.1	50.7	50.9	50.4
+Disneyland	24.7	25.5	27.7	27.2	27.9	28.5	28.5	5.6	13.6	25.9	27.3	27.4	27.1
=Disney Domestic	**79.0**	**81.2**	**86.1**	**85.3**	**87.9**	**91.1**	**91.5**	**24.7**	**51.0**	**75.0**	**77.9**	**78.3**	**77.5**
memo: chg (calendar)		3%	6%	-1%	3%	4%	0%	-73%	106%	47%	4%	0%	-1%
memo: 10K chg (fiscal)	4%	3%	7%	-1%	2%	4%	0%	-47%	-17%	nm	6%	1%	-1%
Europe	14.9	14.2	14.8	13.4	14.9	15.1	15.0	4.0	5.4	15.3	16.1	15.8	16.0
+China (HK+Shanghai)	7.4	7.5	6.8	11.7	17.2	18.5	16.9	7.2	11.3	8.7	20.4	22.6	22.9
=Disney International	**22.3**	**21.7**	**21.6**	**25.1**	**32.1**	**33.6**	**31.9**	**11.2**	**16.7**	**24.0**	**36.5**	**38.4**	**38.8**
memo: chg (calendar)		-3%	0%	16%	28%	5%	-5%	-65%	48%	44%	52%	5%	1%
memo: 10K chg (fiscal)	-2%	-3%	0%	5%	47%	4%	-7%	-53%	-4%	54%	55%	9%	1%
Cruise lines passengers	**4.2**	**4.2**	**4.2**	**4.2**	**3.8**	**3.8**	**4.1**	**1.9**	**0.9**	**5.1**	**5.5**	**5.4**	**6.7**
memo: chg (calendar)		0%	0%	0%	-10%	2%	6%	-53%	-52%	442%	8%	0%	23%
Total attendance	**105.4**	**107.1**	**111.9**	**114.6**	**123.7**	**128.6**	**127.5**	**37.9**	**68.6**	**104.0**	**119.9**	**122.2**	**123.0**
memo: chg (calendar)		2%	4%	2%	8%	4%	-1%	-70%	81%	52%	15%	2%	1%
Domestic parks	75%	76%	77%	74%	71%	71%	72%	65%	74%	72%	65%	64%	63%
+International parks	21%	20%	19%	22%	26%	26%	25%	30%	24%	23%	30%	31%	32%
+Cruises Lines	4%	4%	4%	4%	3%	3%	3%	5%	1%	5%	5%	4%	5%
=Total attendance	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Source: Citi Research, TEA, Company Reports

- Third, since International and Cruise nights are a small portion of global guests, historically, the addition of these new segments will not cause global guests to grow much faster than Domestic guests, in our view. That is, the new KPI may grow closer to 1% (versus 0%).

Figure 10. Attendance Growth by Experience (millions)



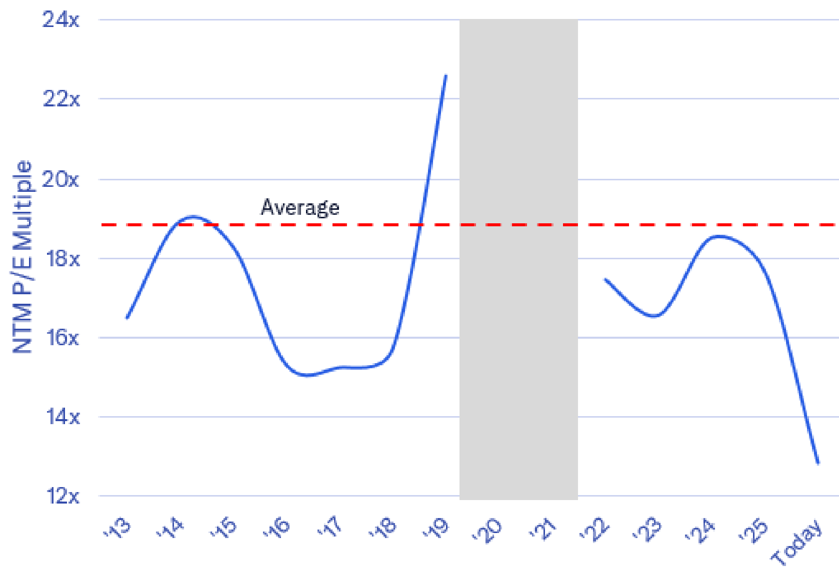
Source: Citi Research, Company Reports, TEA

Bottom Lines: While the International Experiences attendance and (our estimate of) Cruise nights have grown faster than the Domestic attendance, we do not believe the new KPI will result in demonstrably faster growth.

#4: ROICs

Disney's PE multiple has compressed over the last few years. It's now just 13x NTM Adj. EPS, a multi-year low.

Figure 11. Disney NTM PE Multiple (multiple)

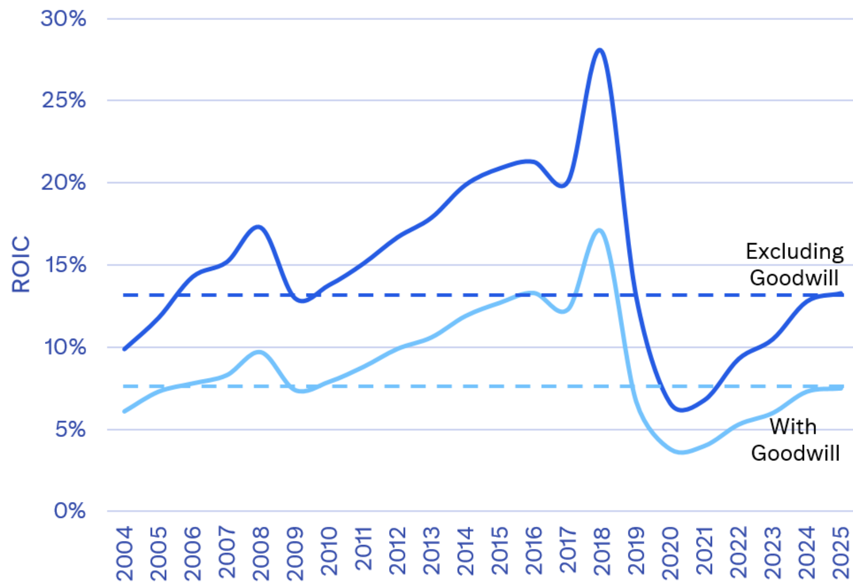


Source: Citi Research, FactSet, Company Reports

Concerns about maintaining double digit earnings growth may be one cause of the multiple compression. But we wonder if lower ROICs are also crimping the PE multiple.

Whether we include or exclude goodwill, Disney's ROICs have only been lower than 2025 twice: i) prior to Mr. Iger's first appointment as CEO (in 2005) and ii) during COVID (2020 to 2022).

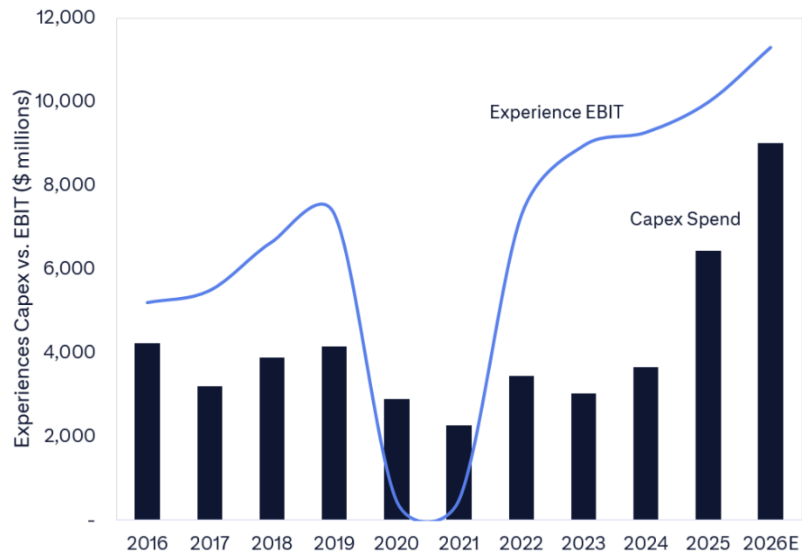
Figure 12. Disney ROICs With and Without Goodwill (percent)



Source: Citi Research, Company Reports

Recall, a few years ago, Disney announced that it would increase Experiences capex. While Experience EBIT has grown, it hasn't risen as much as capex.

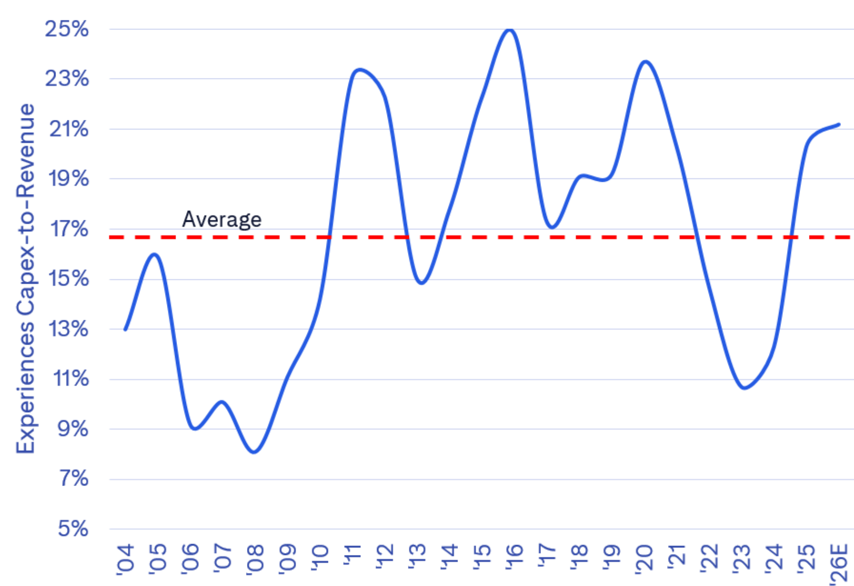
Figure 13. Experience Capex vs EBIT ($ millions)



Source: Citi Research, Company Reports

Said another way, Experiences capex-to-revenue ratios are now toward the high end of the historical range at 21%, over 400bps *above* the long-run average.

Figure 14. Experience Capex-to-Revenue (percent)

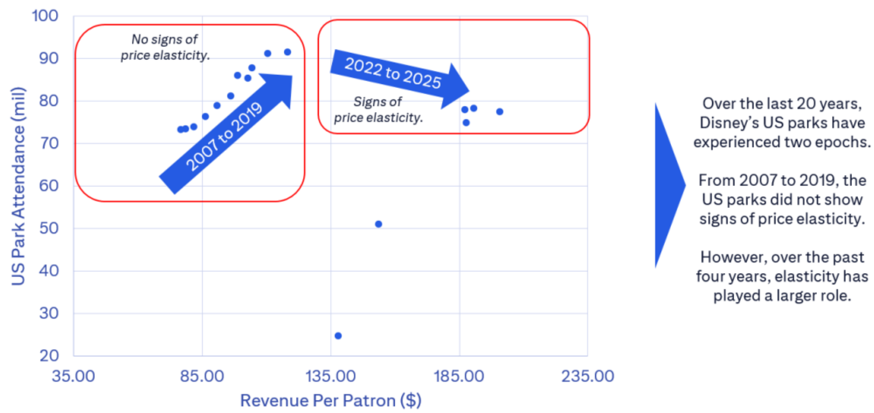


Source: Citi Research, Company Reports

The company plans to expand park capacity with incremental capex (along with investments in more Cruise ships). To assess US revenue per patron (admissions +

MFB spend) versus guest demand, we analyzed 19 years of data. Disney has seen two discrete periods. From 2006 to 2019, Disney was able to raise revenue per patron without hurting guest volumes. However, in the post-COVID period, higher ticket prices (perhaps intentionally) crimped demand.

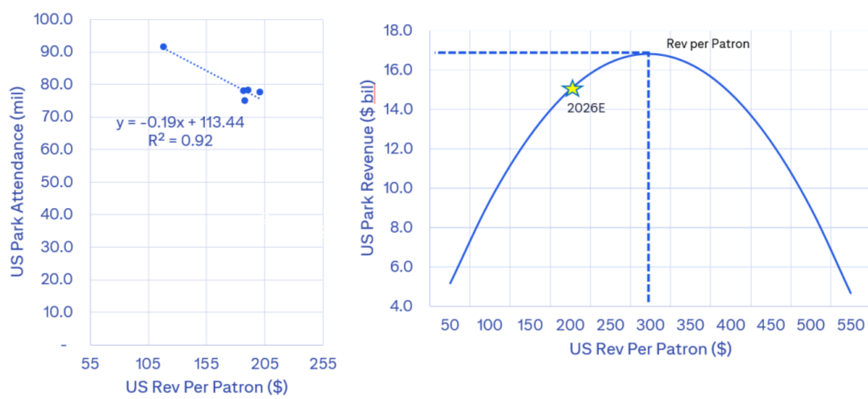
Figure 15. US Ticket Price vs US Attendance ($ per ticket; millions)



Source: Citi Research, TEA, Company Reports

If we take the (more recent) downward sloping demand curve (from 2022 to 2025), it suggests Disney has not yet raised prices enough to generate maximum revenue. That is, peak revenue is likely still a few more years away even if Disney doesn't spend more on capex.

Figure 16. US Rev Per Patron to Maximize Revenue ($ per ticket; mil)

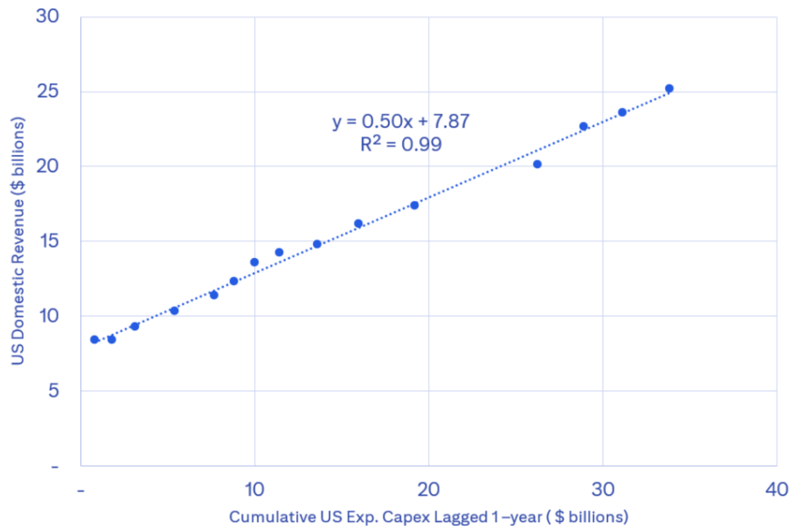


Source: Citi Research, TEA, Company Reports

But, we expect the firm to continue to invest new capital in the Experiences segment. As such, we wanted to assess how past capital investments have helped revenue.

Excluding COVID, over the last 19 years, there is a very tight relationship between Domestic Experiences capex and total Domestic revenue (which includes ticket prices, MFB, hotels and Cruises). The R^2 is close to 1.0.

Figure 17. Cumulative Capex Spend (1-Yr Lag) To Domestic Revenue ($ billions)



Source: Citi Research, Company Reports

The regression suggests Disney generates $0.50 of revenue for every $1.00 of incremental capex. If we assume a 35% to 45% EBITDA margins and a 25% tax rate, it suggests mid-teens to low 20% IRRs (akin to a payback period of ~5 to ~6 years).

Figure 18. Yield on Capex Spend ($ billions; percent; units)

	Avg Margin	Marginal Margin
Incremental capex	1.0	1.0
x Coefficient	0.5	0.5
= Marginal revenue	0.50	0.50
x EBITDA margin	35%	45%
= Inc. EBITDA	0.18	0.23
x 1- tax rate	75%	75%
= FCF	0.13	0.17
/ Capex	1.0	1.0
= Yield	13%	17%
memo: payback years	6.3	5.1
memo: IRR	16%	21%

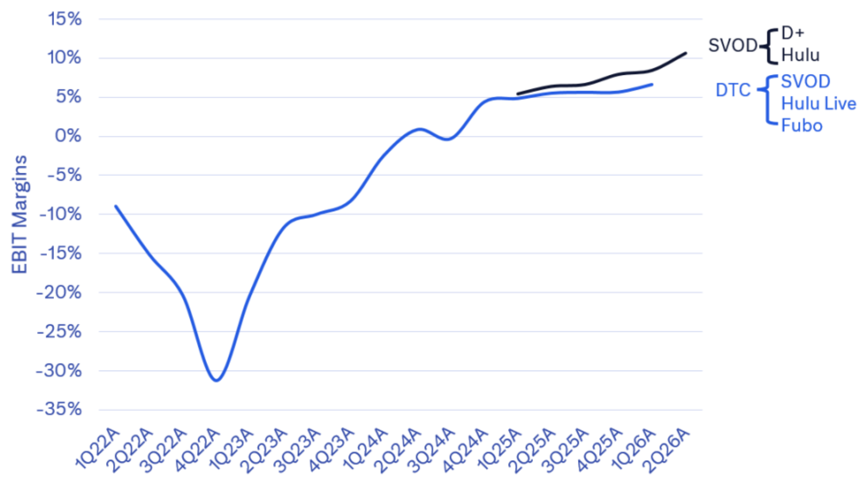
Source: Citi Research, Company Reports

Bottom Lines: We believe the greatest opportunity to improve the PE multiple is to clarify long-term EBIT goals within Experiences. However, even if we don't get a long-term EBIT target, history suggests management has a strong track record of investing wisely. As such, we remain supportive of incremental Experiences capex. While it may not drive attendance, per se, we suspect incremental capex will drive incremental EBITDA and EBIT.

#5: DTC Reset

Over the past few years, the DTC segment benefitted from healthy margin expansion. More recently, SVOD (a subset of DTC) has also seen margin expansion.

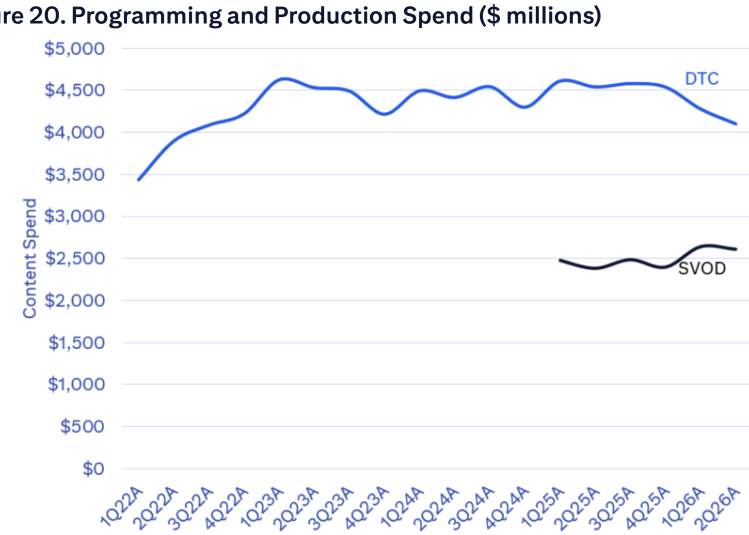
Figure 19. DTC & SVOD Margins (percent)



Source: Citi Research, Company Reports

At the same time, the company has not materially increased spending on programming for SVOD or DTC.

Figure 20. Programming and Production Spend ($ millions)



Source: Citi Research, Company Reports

The company has acknowledged the need for incremental investment in the business, but not at the risk of lower margins. For the company to maintain SVOD EBIT margins of 10.8%, the company can lift content spending by about 10%.

Figure 21. Incremental DTC Spend To Consensus Estimates ($ millions; percent)

	High				Low
'26E consensus SVOD EBIT margin	10.8%	10.8%	10.8%	10.8%	10.8%
+ Margin change	0.0%	0.5%	1.0%	1.5%	2.0%
= '27E SVOD EBIT margin	10.8%	11.3%	11.8%	12.3%	12.8%
x '27E consensus SVOD revenue	24,031	24,031	24,031	24,031	24,031
= '27E SVOD EBIT	2,597	2,717	2,837	2,957	3,078
'27E consensus SVOD revenue	24,031	24,031	24,031	24,031	24,031
- 27E SVOD EBIT	2,597	2,717	2,837	2,957	3,078
= Total expenses	21,434	21,314	21,194	21,074	20,953
- '27E consensus other opex	9,759	9,759	9,759	9,759	9,759
= Implied content spend	11,675	11,555	11,435	11,315	11,195
- '26E consensus content spend	10,664	10,664	10,664	10,664	10,664
= Incremental content spend	1,012	892	771	651	531
/ '26E consensus content spend	10,664	10,664	10,664	10,664	10,664
= Yoy content spend growth	9.5%	8.4%	7.2%	6.1%	5.0%
- Baseline growth	9.5%	9.5%	9.5%	9.5%	9.5%
= Lost content growth	**0.0%**	**-1.1%**	**-2.3%**	**-3.4%**	**-4.5%**

Source: Citi Research, Visible Alpha

Bottom line: While we forecast continued SVOD margin expansion, we believe the biggest potential for a strategic shift - and a potential risk to earnings – could come from SVOD. As such, we are below consensus by 130bps in 2027 and 210bps in 2028.

Figure 22. DTC SVOD Margin Estimates (percent)

Source: Citi Research, Company Reports, Visible Alpha

#6: Theatrical Underperformance

During F3Q26, there were a few titles slated for theatrical release including Toy Story 5 and Mandalorian.

Figure 23. Theatrical Release Slate by Quarter

Current Year	1Q26	2Q26	3Q26	4Q26
	Avatar	Avatar	Devil Wears Prada	Live Action Moana
	Zootopia 2	Zootopia 2	Mandalorian	Toy Story 5
	Predator	Send Help	Toy Story 5	
	Tron		Ready or Not	

Prior Year	1Q25	2Q25	3Q25	4Q25
	Moana 2	Moana 2	Lilo & Stitch	Fantastic 4
	Mufasa	Mufasa	Thunderbolts*	The Roses
		Snow White	The Amateur	Freakier Friday
		Cap America	Elio	Lilo & Stitch
			Snow White	

Source: Citi Research, Company Reports

However, the Mandalorian underperformed in 3Q26. And for 4Q26, Moana also underperformed. While marketing costs and production costs are hard to assess, we estimate these films could hurt EBIT by ~$75 million relative to our prior outlook.

Figure 24. Domestic Box Office Revenue ($ million; percent)

Title	Mandalorian +	Toy Story 5 +	Moana =	Total
Release date (fiscal)	3Q26	3Q26	4Q26	
Domestic box office estimate today	180	495	140	815
- Domestic box offic estimate Mar 2026	255	439	270	964
= Upside (downside)	**(75)**	**56**	**(130)**	**(149)**
x Revenue share	50%	50%	50%	50%
= Revenue gain (loss)	**(38)**	**28**	**(65)**	**(75)**

Source: Citi Research, Box Office Mojo

Updating our Estimates

We are making small adjustments to our estimates primarily within the Entertainment segment. Following our update, we are lowering our target price from $145 to $135.

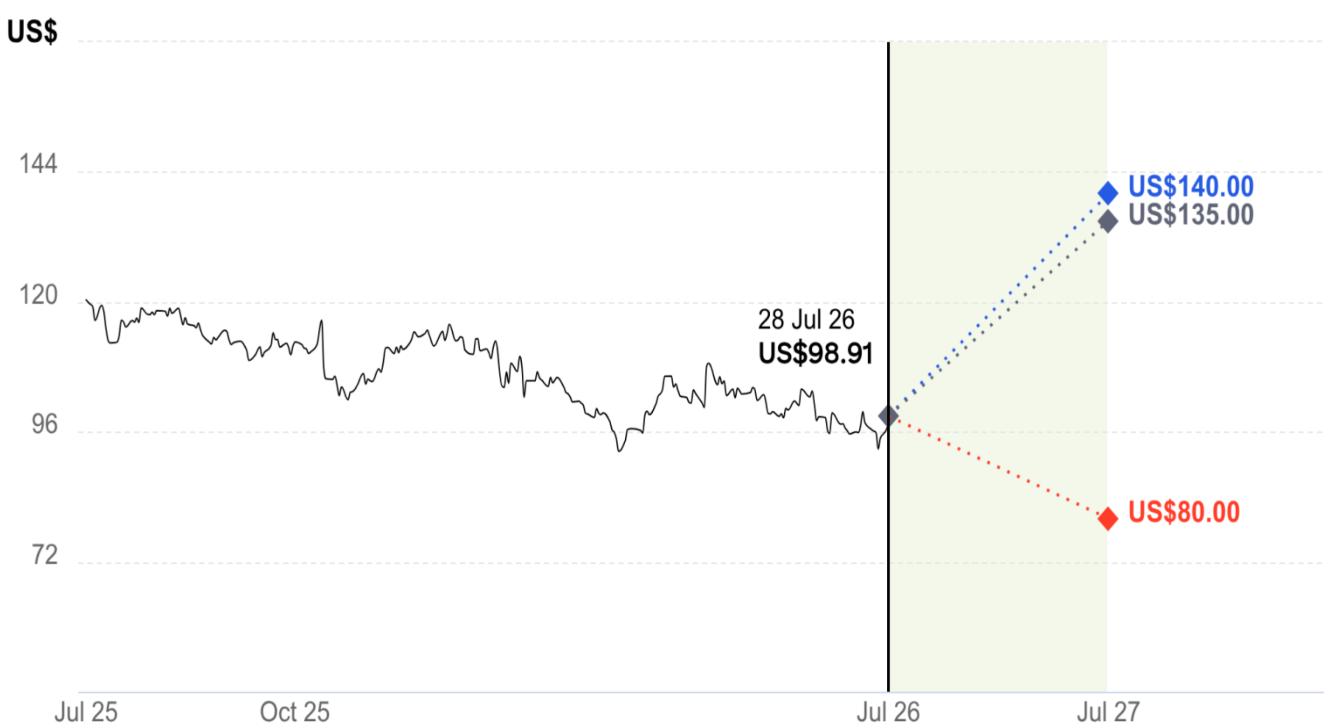
Figure 25. Citi Estimate Changes ($ millions; millions of shares; pct; multiple)

	Current			Prior			Difference		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	100,910	106,618	110,954	101,079	106,054	109,666	0%	1%	1%
x Margin	19.4%	19.5%	20.4%	19.5%	20.0%	21.2%			
= Segment EBIT	**19,567**	**20,745**	**22,649**	**19,738**	**21,173**	**23,194**	**-1%**	**-2%**	**-2%**
- Corp EBIT	1,334	1,500	1,500	1,334	1,500	1,500	0%	0%	0%
- Interest expense	1,176	1,221	1,110	1,173	1,197	1,077	0%	2%	3%
- Other	1,658	1,178	1,436	1,664	1,165	1,423	0%	1%	1%
= EBT	15,399	16,846	18,603	15,567	17,311	19,194	-1%	-3%	-3%
- Tax	4,071	4,043	4,465	4,110	4,155	4,607	-1%	-3%	-3%
- Minority	936	984	1,085	951	987	1,096	-2%	0%	-1%
= Net income	10,393	11,819	13,054	10,506	12,170	13,491	-1%	-3%	-3%
+ Adjustments	1,571	1,216	969	1,571	1,216	969	0%	0%	0%
= Adj Net Income	11,964	13,035	14,023	12,077	13,386	14,460	-1%	-3%	-3%
/ Shares	1,761	1,784	1,794	1,761	1,788	1,794	0%	0%	0%
= Adj. EPS	**6.80**	**7.31**	**7.82**	**6.86**	**7.49**	**8.06**	**-1%**	**-2%**	**-3%**
x Target multiple	20x	19x	17x	20x	19x	17x			
= Target Price	**135**	**135**	**135**	**140**	**140**	**140**	**-3%**	**-3%**	**-3%**
memo: Adj EPS growth	15%	8%	7%	16%	9%	8%			

Source: Citi Research, Company Reports

Bull/Bear: Walt Disney Co (DIS.N)

US$ 140.00 ▲42% Upside	US$ 135.00 ▲36% Upside	US$ 80.00 ▼19% Downside



Spread 61pp
Current Price and expected returns (upside/downside) as of 28 Jul 2026

BULL Assumptions

- DIS exceeds our forecast

BASE Assumptions

- DIS performs in line with our expectations

BEAR Assumptions

- DIS misses our forecast

Walt Disney Co

Company description

The Walt Disney Company is a diversified global entertainment company. The business is comprised of three segments: Entertainment, Sports, and Experiences. Disney's Entertainment segment consists of the firm's domestic and international Linear Networks (including ABC Network, FX, 73% ownership of National Geographic), the company's Direct-to-Consumer properties (including Disney+ and Hulu), and its Content Sales/Licensing business. Disney's Sports segment includes ESPN, ESPN+, and other sports branded television channels. The company's Experiences segment includes Walt Disney World Resort in Florida, the Disneyland Resort in California, and international properties in France and China. The Experiences segment also includes the company's Consumer Products division.

Investment strategy

We are Buy rated on Disney. We like shares of Disney as we see scope for the market to fully embrace the firm's DTC pivot as profitability continues to improve and the firm utilizes its Sports content more aggressively push into streaming with ESPN Flagship. Furthermore, we also expect the company to benefit from an improving US box office and returns on capital investments within its Experiences segment.

Valuation

We arrive at our $135 target price by valuing DIS at ~19x 2027E Adj. EPS, which is in line with the S&P 500 NTM PE multiple.

Risks

Risks to our target price being achieved include the following:

1. If pay TV subs decline faster than anticipated, there may be downside to our estimates and target price.

2. Challenges to the broader economic environment could pressure advertising revenue at Disney's Entertainment and Sports segments, which may result in downside to our current forecast.

3. A potential slowdown in DTC subscriber growth or more limited DTC profitability could dampen investor enthusiasm about the prospects for the firm's DTC business.

4. If the firm's upcoming film slate underperforms expectations, there may be downside to our estimates and target price.

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Appendix A-1

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IMPORTANT DISCLOSURES

Walt Disney Co (DIS)
Ratings and Target Price History
Fundamental Research

Analyst: Jason B Bazinet

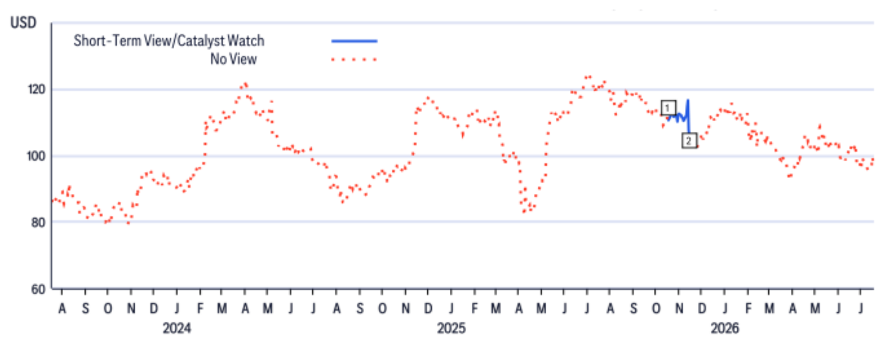
	Date	Rating	Target Price	Closing Price
1	15-Aug-23 08:43:35	1	*120.00	87.06
2	05-Nov-23 20:00:08	1	*110.00	85.07
3	17-Jan-24 11:21:46	1	*106.00	90.34
4	08-Feb-24 18:18:17	1	*130.00	110.54
5	28-Feb-24 09:29:28	*--	-	110.80
6	21-Jan-25 19:00:00	*1	*125.00	108.70
7	08-Jul-25 20:00:00	1	*140.00	121.82
8	17-Oct-25 13:35:37	1	*145.00	110.67
9	15-Jan-26 17:49:29	1	*140.00	113.41
10	20-Apr-26 17:46:13	1	*135.00	106.30
11	07-May-26 08:36:59	1	*145.00	108.66

*Indicates Change

Rating/target price changes above reflect Eastern Time

Walt Disney Co (DIS)
Short-Term View/Catalyst Watch Research

Analyst: Jason B Bazinet



	Date	Action	Expected Direction	Duration	Closing Price
1	17-Oct-25 09:35:37	Add STV	Upside	30 Days	110.67
2	14-Nov-25 08:34:37	Remove STV	Upside	30 Days	105.80

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Jul 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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